

Employing in Mexico

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Federal Labour Law (Ley Federal del Trabajo)
- **Monthly payroll** — salary payments in MXN, CFDI-compliant electronic payslips
- **Tax withholding** — progressive ISR income tax withheld and remitted to the SAT
- **IMSS, INFONAVIT & SAR** — the full social security, housing fund and retirement contribution stack
- **Leave and termination management** — Aguinaldo, PTU profit-sharing and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Maximum 30 days (180 days for managerial/technical/specialised roles)	Federal Labour Law (LFT)
Written contract	Mandatory, must be registered with IMSS before the employee starts	Federal Labour Law (LFT)
Standard hours	8 hrs/day, 48 hrs/week	Federal Labour Law (LFT)

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage (general zone)	MXN 315.04/day (~MXN 9,583/month)	Effective 1 January 2026, +13% from 2025
Minimum wage (Northern Border Free Zone)	MXN 440.87/day (~MXN 13,410/month)	Higher rate for the designated border zone
IMSS employer contribution	~20%–35%+ of the Integrated Daily Salary (SDI), risk-dependent	Calculated on SDI (includes Aguinaldo/vacation premium), not gross salary alone
INFONAVIT (housing fund)	5% of gross salary	Employer-funded, no employee match
State payroll tax	1%–4% of payroll, varies by state	Levied by the state where the employee is registered

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	12 days after 1 year, +2 days/year up to year 5, then +2 every 5 years	Employer	Federal Labour Law minimum
Vacation Premium	25% additional pay during vacation	Employer	Calculated on the SDI
Aguinaldo (13th month)	Minimum 15 days' salary, paid by 20 December	Employer	First 30 days are exempt from income tax; pro-rated for partial years
PTU (Profit Sharing)	10% of company pre-tax profit, distributed among eligible employees	Employer	Mandatory annual distribution under the LFT

★ HERO TIP

The Integrated Daily Salary (SDI) — not the base daily wage — is the true calculation basis for IMSS contributions, and it must include Aguinaldo, vacation premium and other recurring benefits. Many foreign employers underpay IMSS by calculating only on base salary, which creates significant retroactive liability and audit exposure. Confirm the correct SDI calculation with your HeroForce EOR for every Mexico hire.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
IMSS employer contribution (illustrative, ~25% of SDI)	\$750.00	25.00%
INFONAVIT (5%)	\$150.00	5.00%
State payroll tax (illustrative, 2.5%)	\$75.00	2.50%
Aguinaldo accrual (15 days ≈ 4.1%)	\$123.00	4.10%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,698.00	~156.6%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Total Mexican employer on-costs typically run 30%–45% above base salary once IMSS, INFONAVIT, state tax and mandatory benefits are combined — this example is representative for an office role. Employee deductions (withheld separately) include IMSS employee

share (2%-6%) and progressive ISR (1.92%-35%).

Income Tax (ISR, 2026)

Mexico applies an 11-bracket progressive ISR scale, ranging from 1.92% to 35%, withheld monthly under the SAT's official tables.

Termination & Separation

Mexico has no general "at-will" termination — dismissal without just cause requires severance of 3 months' salary plus 20 days' salary per year of service, plus any accrued but unpaid Aguinaldo, vacation and PTU. Dismissal for just cause (justified under LFT Article 47) does not require severance but must follow strict documentation and notice procedures.

★ HERO TIP

Mexican labour courts (Juntas de Conciliación y Arbitraje / Tribunales Laborales post-reform) strongly favour employees in termination disputes, and a poorly documented "just cause" dismissal frequently converts into a full severance liability plus potential back-pay for the duration of any litigation. Always route Mexican terminations through your HeroForce EOR to confirm the grounds and documentation before issuing notice.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~2 February	Constitution Day (first Monday of February)	National
~16 March	Benito Juárez's Birthday (third Monday of March)	National
1 May	Labour Day	National
16 September	Independence Day	National
~16 November	Revolution Day (third Monday of November)	National
25 December	Christmas Day	National

Every 6 years (most recently 2024), 1 October is also a holiday for presidential transition — not applicable in 2026. Many employers also grant customary closures around Día de los Muertos (1-2 November) and Holy Week, though these are not statutory.

Ready to hire in Mexico?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Mexico employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).